

Fig. 1: Inverter market: Value-wise (Data courtesy: Netscribes)

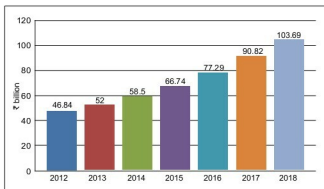


Fig. 2: UPS market: Value-wise (Data courtesy: Netscribes)

ture looks like it is a fraudulent industry but actually, if done the right way, the UPS and inverter industry should experience continuous growth."

However, not all are of the same view. "Though prima facie it seems that government policies do affect, in reality, they need not. Industry consortium can help this segment to grow without much ado. Depending upon government for concession or something else could definitely slow-down growth of the segment and would not do any good in the future," adds Anand.

Some other challenges are balancing rising input costs because of rising costs of raw materials and maintaining fair value for the users.

On another note, one of the major buyers of inverters and UPS systems today is the government of India, shares Mathew. However, he says, "Of late, our government has not floated any major tenders, as a result of which sale of UPS and inverters has taken a hit. While government schemes such as computerisation of schools have boosted the industry in the past, not many new funds have been allocated to schools in the recent times." This has, in turn, affected the number of orders, thereby leading to a decline in sales. On the brighter side, he adds, "The government's initiative of computerisation of its various departments is benefitting the industry, currently keeping the industry afloat."

Challenges faced

Lack of awareness is one of the major challenges that the UPS and inverter

industry in the country has to deal with. Growth of the Indian power backup industry is thwarted by poor consumer knowledge and further hindered by misconstrued selection criteria for power backup products, informs Mathew.

He notes, "Consumers often tend to overlook important technical details such as resistive loads, types of lubrication, safety features and other technical parameters while making purchase decisions, which leads to negative reviews by current consumers and ultimately causes other potential customers to defer their purchase."

Moreover, he adds, "A significant growth in imports from China, especially in case of inverters and the UPS units of lower than 10kVA range, is another challenge being faced by the domestic industry."

Shifting focus to the inverter industry, inverter is not really a high-end product; any power electronics company can enter the market. Das believes that the entry barriers are very low in this sector. He says, "Due to this, we see a lot of players who have entered this market recently, resulting in stiff competition. The entry barriers in the UPS industry are comparatively higher." Besides, the whole origin of the inverter industry is because of need of backup power during power cuts. He adds, "Over a period of time, the grid power supply is improving due to privatisation of distribution companies in cities such as Delhi, Mumbai and Kolkata. This can have a dampening effect on the inverter industry."

Also, there are a lot of smaller players who have entered the market. So there is a tendency amongst them to sell underrated inverters also.

Summarising the challenges, Das says, "Stiff pricing, inferior rating and lower quality of batteries, improvement of main grid power supply and deliberate underrating of inverters are some of the pressing challenges faced by the whole inverter industry."

Sanghi believes the challenges faced are basically concept selling and knowledge. He adds, "Once you give knowledge to people and you start selling the concept then this industry will definitely look at a boom." So the challenge today is knowledge—not basic knowledge but integrated technical knowledge as well.

Talking about the government policies, Jain believes that, "The government policies offering different tax slabs in various states is a very disturbing factor—there must be a uniform slab all across India."

Technology trends

The demand for power in the country has been increasing at an exponential rate. The increased spending power of the people has been a significant contributor. Even people in the rural areas have resorted to complex appliances to support their daily lives, informs Mathew. Consequently, the industry is witnessing a shift towards new technology and design in order to support more sophisticated appliances. He says, "Green UPS systems, which offer efficiency rates of 94-97 per cent as against the usual 80-88